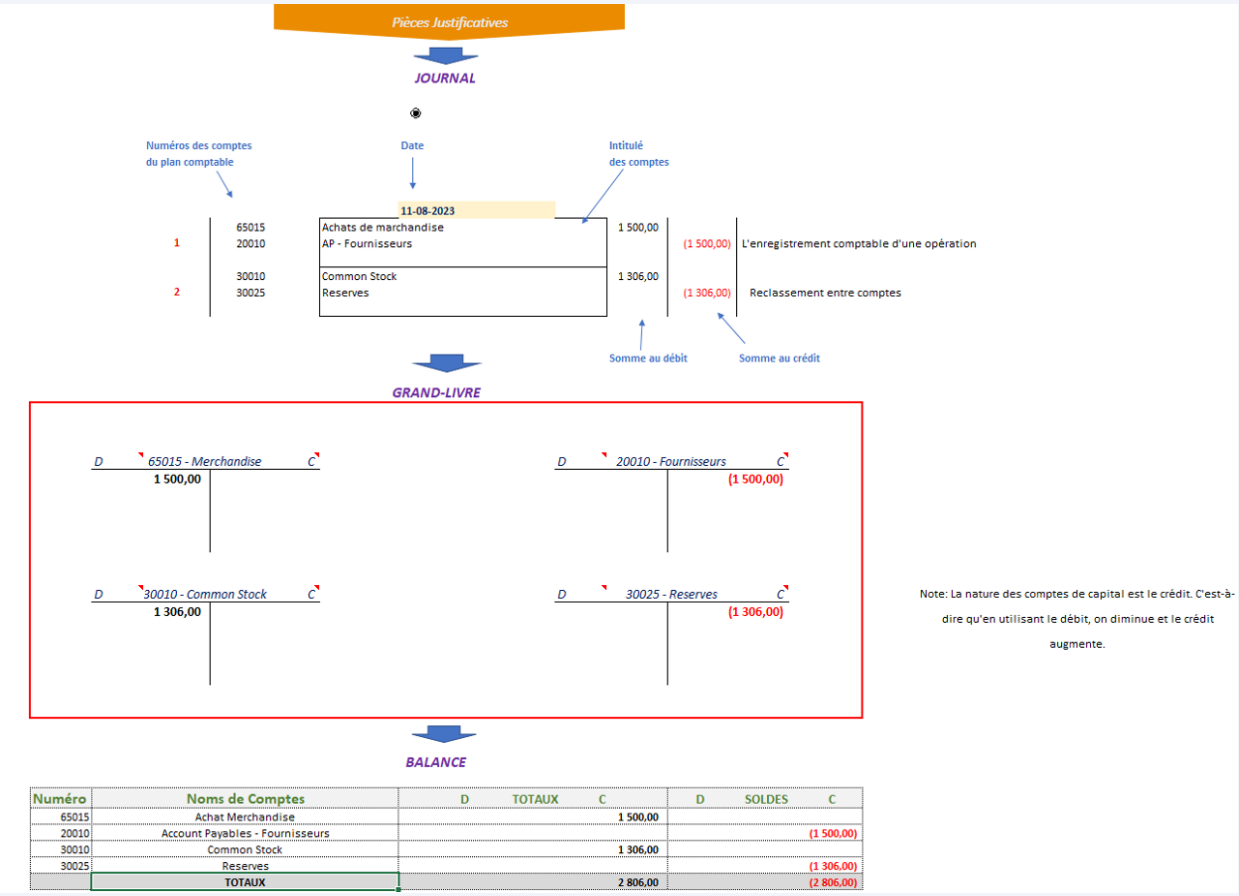
Creating and reverse (Set BS accounts to 0 (cut off) Entity Journals: A Step-by-Step Guide

Raymond Chabot Grant Thornton

1 The following is an example of an accounting scheme to explain how an entity journal would work and then we will see step by step the exercise according to this example.

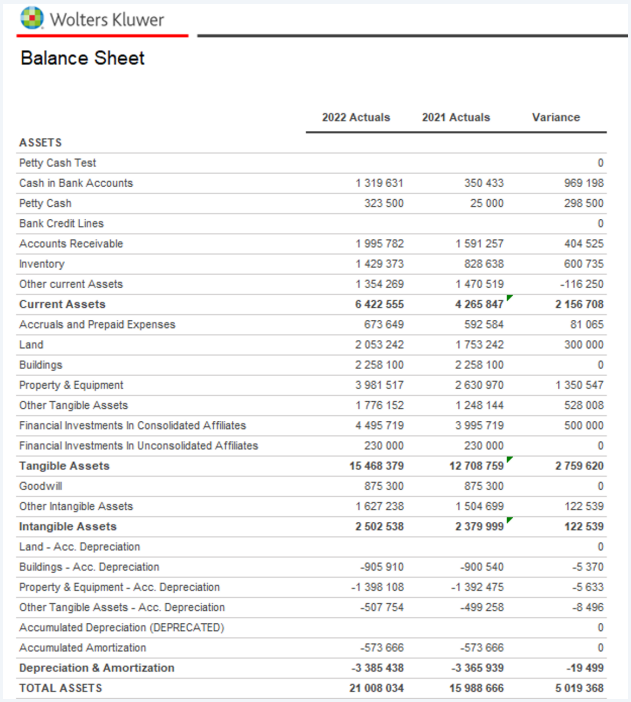


Numéro	Noms de Comptes	D	TOTAUX	C	D	SOLDES	C
65015	Achat Merchandise			1 500,00			
20010	Account Payables - Fournisseurs						(1 500,00)
30010	Common Stock			1 306,00			
30025	Reserves						(1 306,00)
	TOTAUX			2 806,00			(2 806,00)

2 Before creating the Journal, let's review our P&L.

	2022 Actuals	2021 Actuals	Variance
Sales Revenue	18 301 908	17 028 996	**1 272 912**
Discounts & Promotions			**0**
TOTAL NET SALES	**18 301 908**	**17 028 996**	**1 272 912**
Cost of Goods Sold	2 176 969	1 070 128	**1 106 841**
GROSS MARGIN	**16 124 939**	**15 958 868**	**166 071**
Wages & Salary	7 110 128	7 015 120	**95 008**
Payroll Taxes	474 320	455 063	**19 257**
EE Benefits	444 143	426 842	**17 301**
TOTAL EE EXPENSES	**8 028 591**	**7 897 025**	**131 566**
General & Administrative Expenses	1 868 769	1 892 099	**-23 329**
Marketing Expenses	701 152	710 475	**-9 323**
Travel Expenses	1 314 870	1 332 354	**-17 484**
Training & Staffing	341 765	336 579	**5 186**
External Services	875 585	887 228	**-11 643**
Depreciation & Amortization	183 910	186 355	**-2 445**
TOTAL OVERHEAD EXPENSES	**5 286 051**	**5 345 090**	**-59 039**
TOTAL OPERATING EXPENSES	**13 314 642**	**13 242 115**	**72 527**
OPERATING INCOME	**2 810 297**	**2 716 753**	**93 544**
Other Expense/Income	126 005	1 482 153	**-1 356 148**
EARNINGS BEFORE TAXES	**2 684 292**	**1 234 600**	**1 449 692**
Income Taxes	10		**10**

3 Now we can check the Balance Sheet » Assets



Wolters Kluwer

Balance Sheet

	2022 Actuals	2021 Actuals	Variance
ASSETS			
Petty Cash Test			0
Cash in Bank Accounts	1 319 631	350 433	969 198
Petty Cash	323 500	25 000	298 500
Bank Credit Lines			0
Accounts Receivable	1 995 782	1 591 257	404 525
Inventory	1 429 373	828 638	600 735
Other current Assets	1 354 269	1 470 519	-116 250
Current Assets	**6 422 555**	**4 265 847**	**2 156 708**
Accruals and Prepaid Expenses	673 649	592 584	81 065
Land	2 053 242	1 753 242	300 000
Buildings	2 258 100	2 258 100	0
Property & Equipment	3 981 517	2 630 970	1 350 547
Other Tangible Assets	1 776 152	1 248 144	528 008
Financial Investments In Consolidated Affiliates	4 495 719	3 995 719	500 000
Financial Investments In Unconsolidated Affiliates	230 000	230 000	0
Tangible Assets	**15 468 379**	**12 708 759**	**2 759 620**
Goodwill	875 300	875 300	0
Other Intangible Assets	1 627 238	1 504 699	122 539
Intangible Assets	**2 502 538**	**2 379 999**	**122 539**
Land - Acc. Depreciation			0
Buildings - Acc. Depreciation	-905 910	-900 540	-5 370
Property & Equipment - Acc. Depreciation	-1 398 108	-1 392 475	-5 633
Other Tangible Assets - Acc. Depreciation	-507 754	-499 258	-8 496
Accumulated Depreciation (DEPRECATED)			0
Accumulated Amortization	-573 666	-573 666	0
Depreciation & Amortization	**-3 385 438**	**-3 365 939**	**-19 499**
TOTAL ASSETS	**21 008 034**	**15 988 666**	**5 019 368**

4 Balance Sheet » Liabilities and Equity



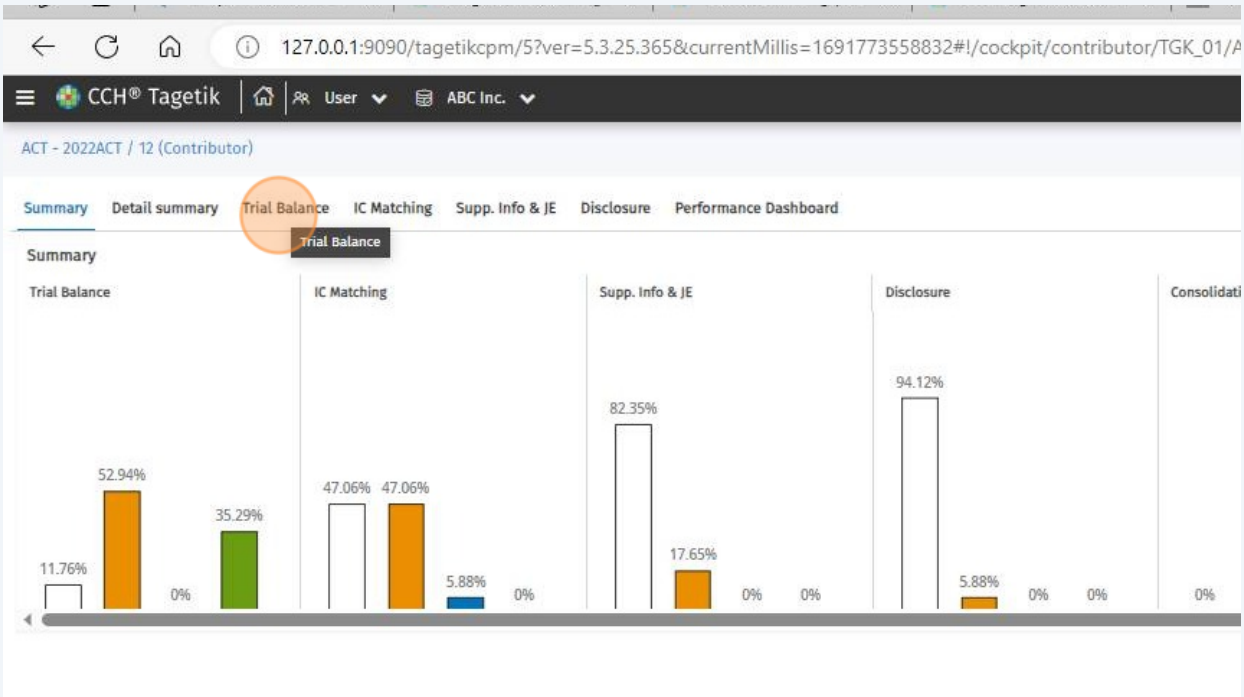
LIABILITIES			
Accounts Payable	3 054 348	2 052 848	1 001 500
Accrued Liabilities	1 173 313	669 081	504 232
Interest Payables	878 861	858 650	20 211
Tax Payable	638 963	859 259	-220 296
S/T Debit lines	618 157	698 137	-79 980
Bank Debit Line			0
Othe current liabilities	1 682 551	1 553 131	129 420
Vat Payable/Receivable			0
Transitory account (VAT) on Sales/Expenses			0
Current Liabilities	**8 046 193**	**6 691 106**	**1 355 087**
Bonds Payables	2 084 631	1 084 631	1 000 000
L/T Debt	2 893 071	3 413 071	-520 000
Long Term Liabilities	**4 977 702**	**4 497 702**	**480 000**
TOTAL LIABILITIES	**13 023 895**	**11 188 808**	**1 835 087**
EQUITY			
Common Stock	1 353 500	853 500	500 000
Treasury Stock	346 900	346 900	0
Common Stock	**1 700 400**	**1 200 400**	**500 000**
Reserves	1 250 000	1 250 000	0
Cumulative Trals. Adjustment			0
Equity pick-up BS			0
OCI	**1 250 000**	**1 250 000**	**0**
Retained Earnings	1 904 600	670 000	1 234 600
Additional Paid in Capital	444 858	444 858	0
Retained Earnings	**2 349 458**	**1 114 858**	**1 234 600**
Current Year Result	2 684 282	1 234 600	1 449 682
Current Year results	**2 684 282**	**1 234 600**	**1 449 682**
Non Controlling Interest			0
NCI: Current Year Result			0
Non Controlling Interest	**0**	**0**	**0**
TOTAL EQUITY	**7 984 140**	**4 799 858**	**3 184 282**
TOTAL LIABILITIES & EQUITY	**21 008 034**	**15 988 666**	**5 019 368**

Run by: Tagetik on 8/14/23

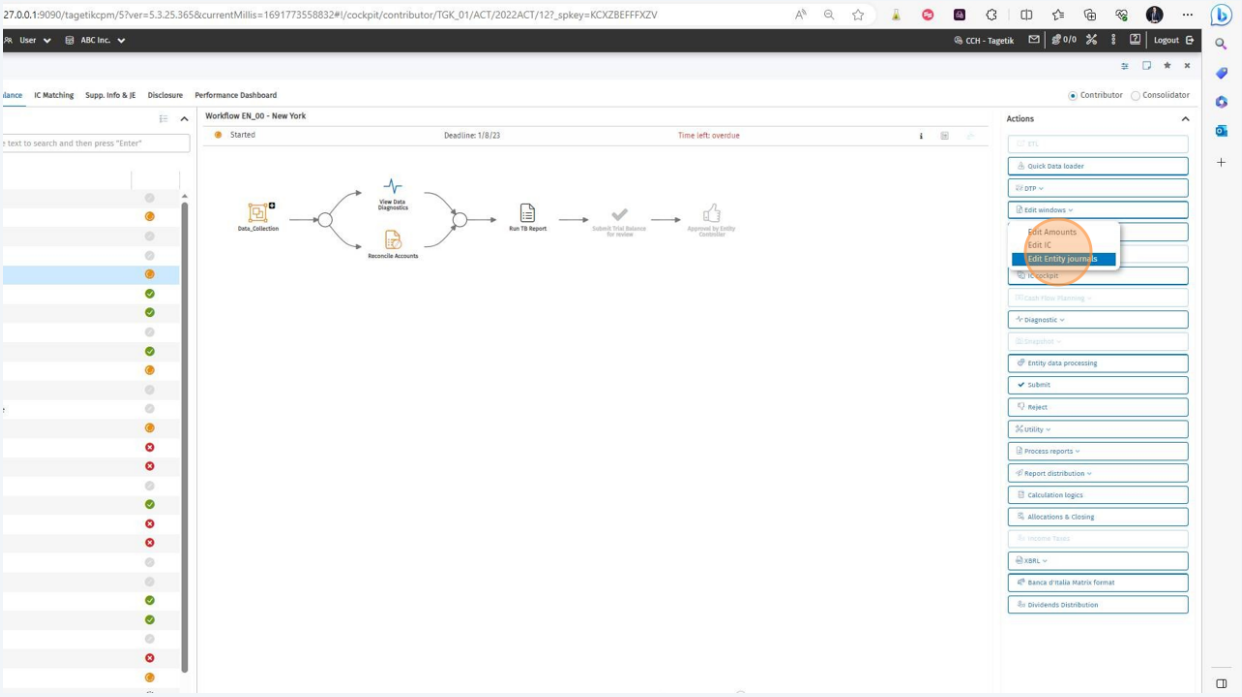
5 Now that we know the figures in the balance sheet and P&L we proceed to create the Journal.
Go to Close & Consolidation Process:



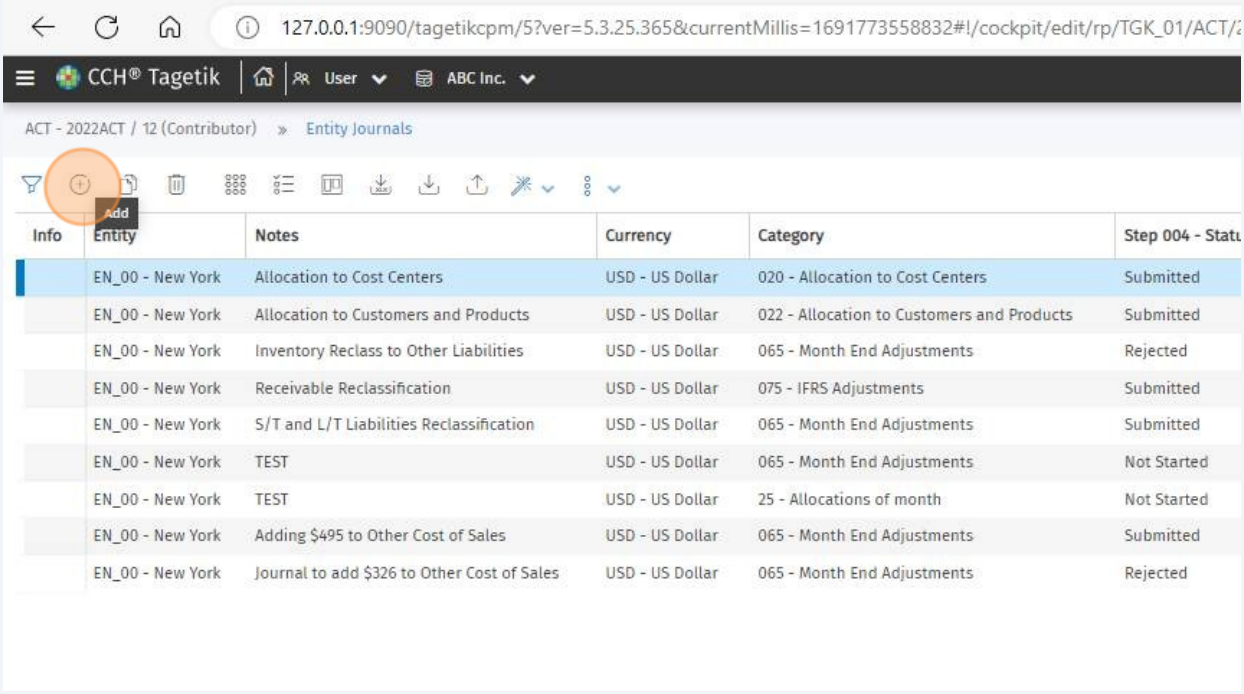
6 Select Trial Balance



7 Select Entity EN_00 and Click "Edit Entity journals"

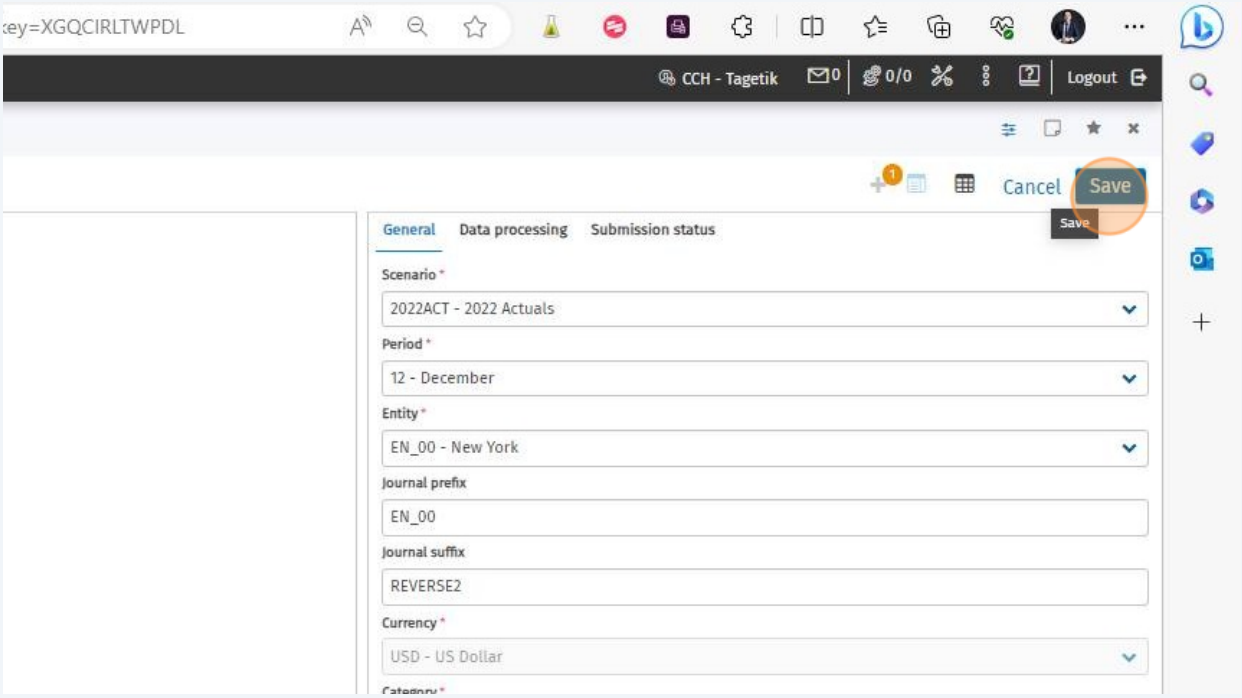


8 The first part corresponds to creating the header of journal.

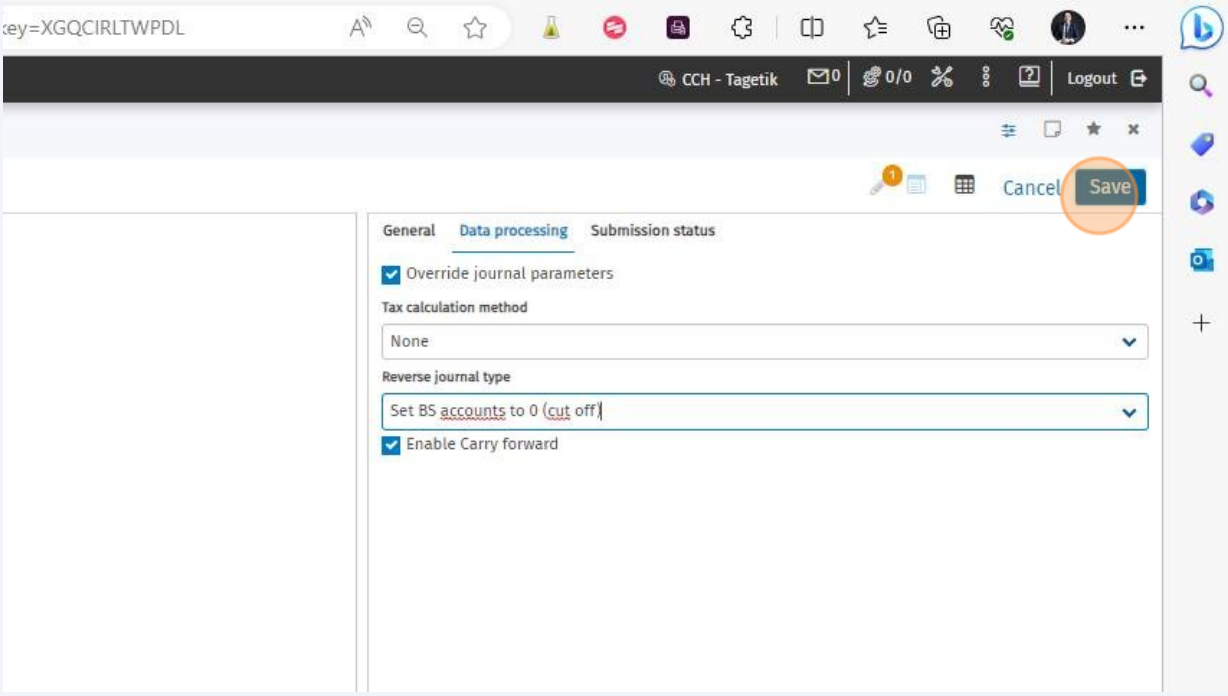


⚠ Headers: A header representing the "container" of the general attributes of the journals (Scenario, period, entity, journal prefix, journal suffix, category, notes, ...) and where it is defined how the system should manage the journal (if it must be carried forward, on which consolidation scenarios it must be processed,.

9 Fill in the data in the header of the General tab.

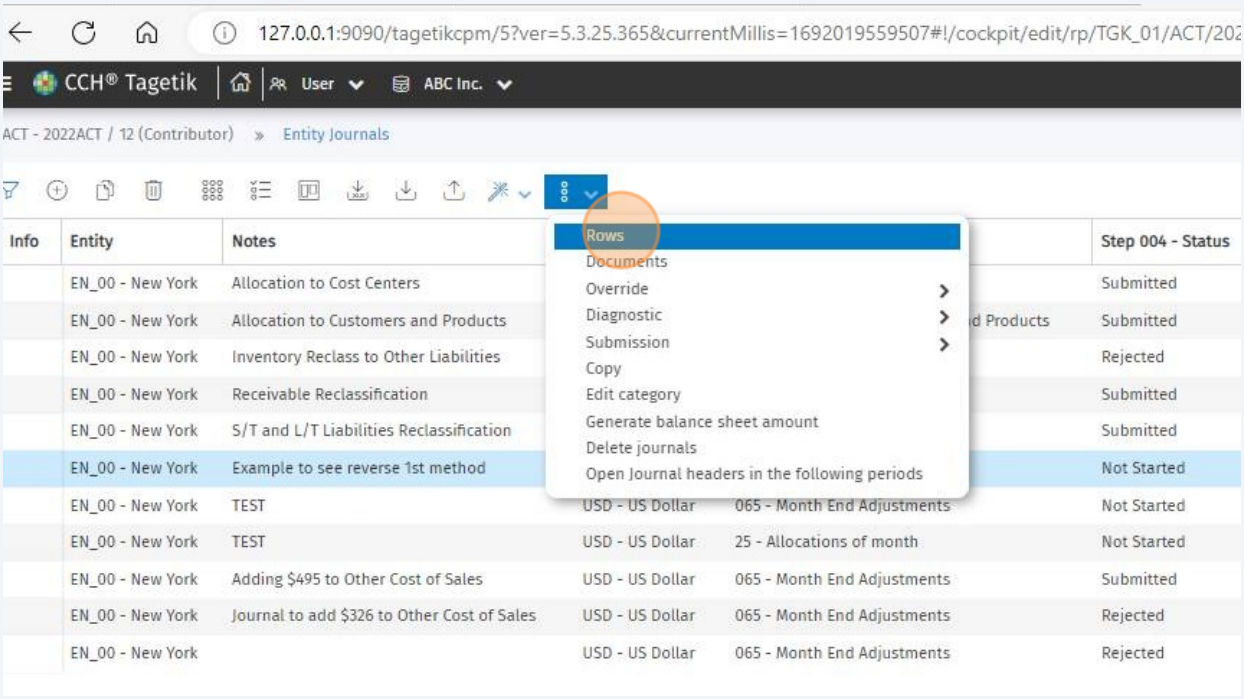


10 In the data processing tab we will select override journal parameters and this activates the lower options. We choose reverse journal type and select the first option Set BS acconts to 0 (Cut off).
After completing the data, select save.

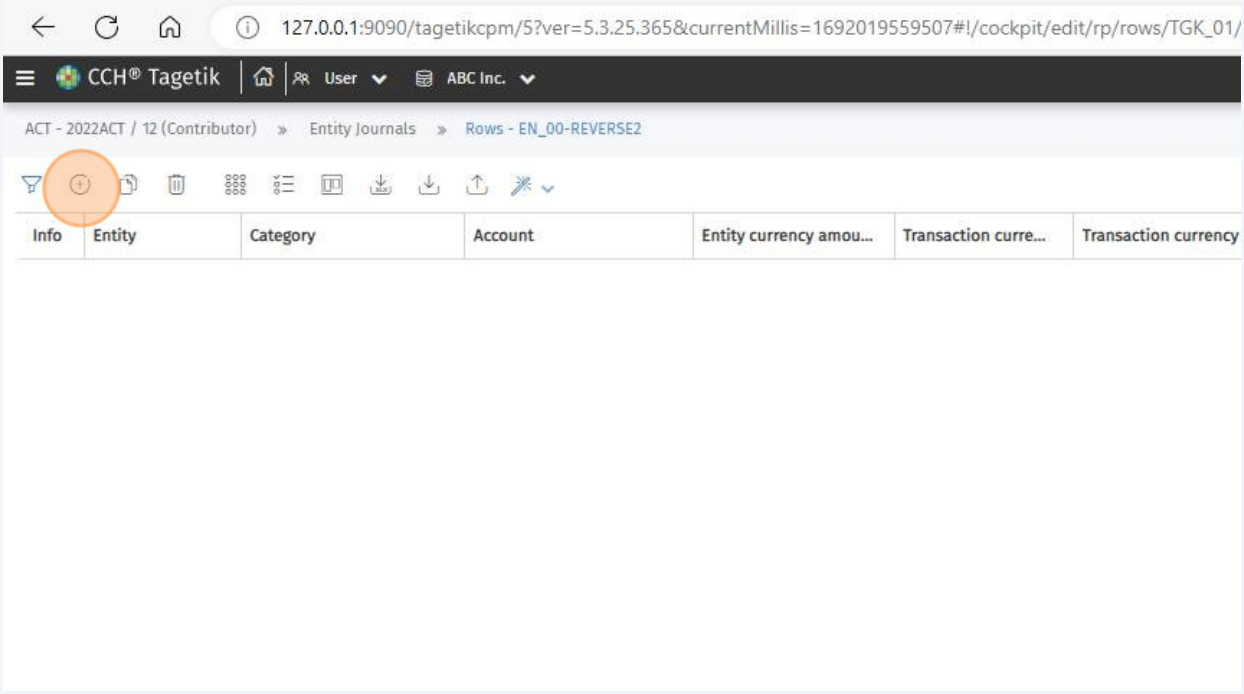


⚠ Rows: Once the definition of the header of an Entity journal is complete, you can move on to define its rows, namely the movements that compose the journal itself

11 Click "Rows" to add the journal movements.

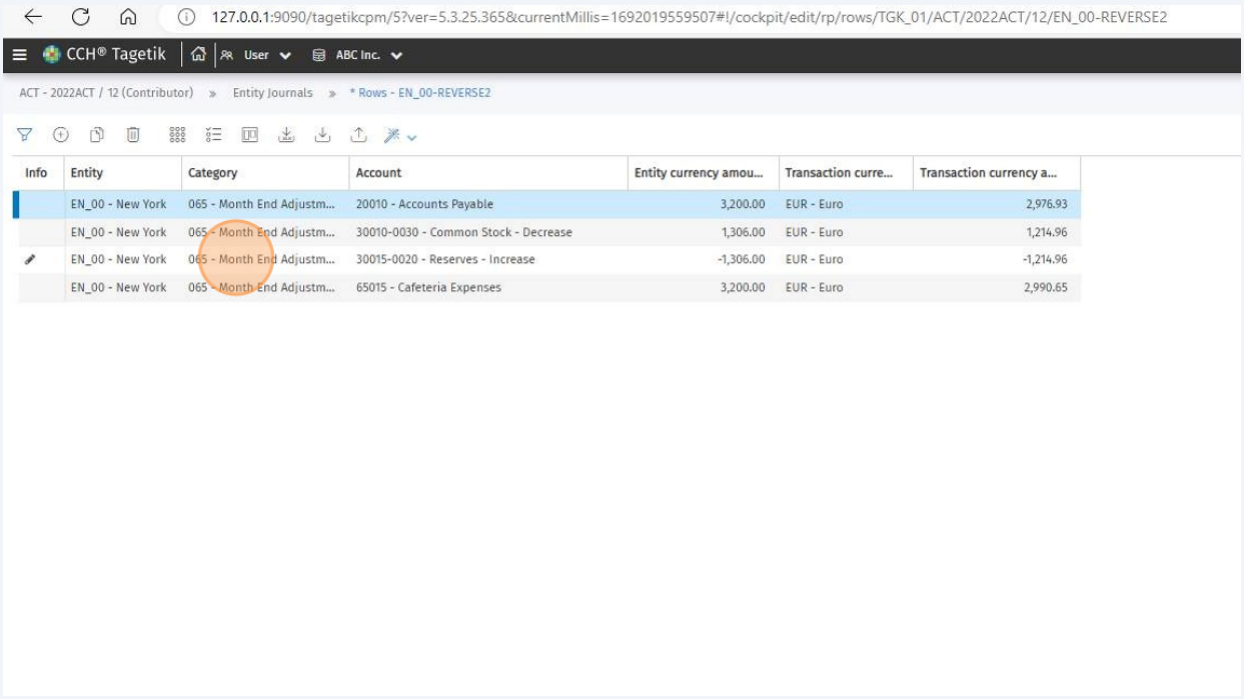


12 Click "Add" to create the rows

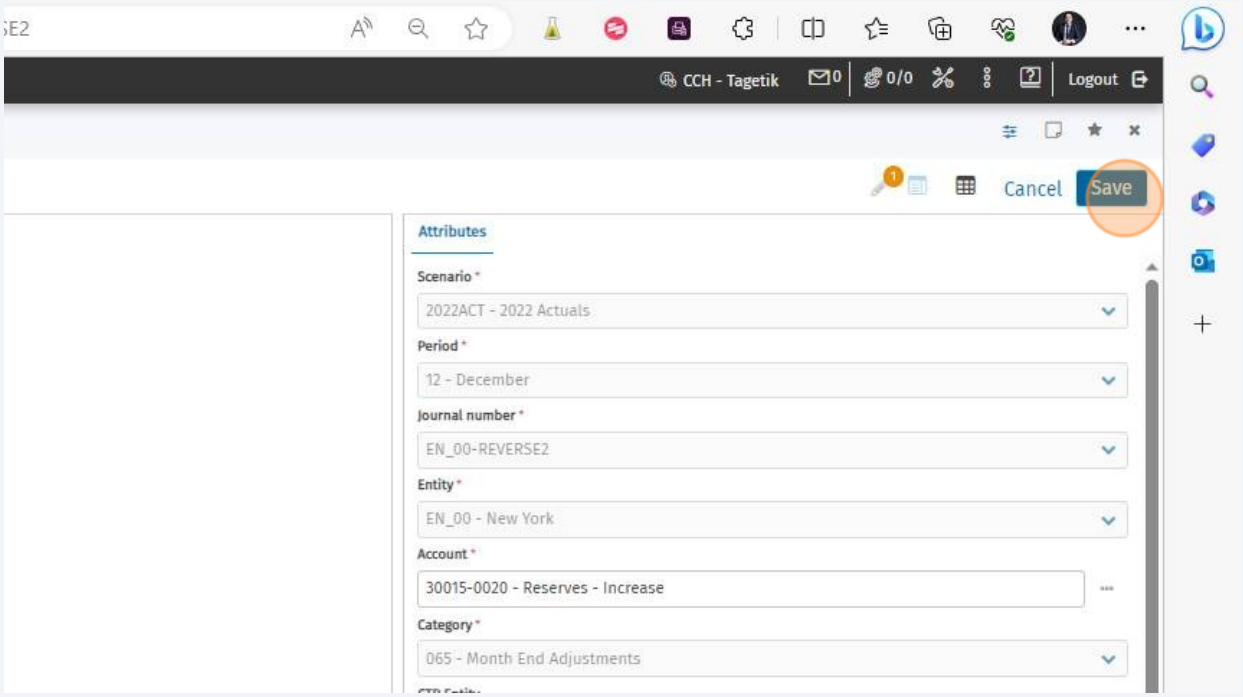


Remember that journal entries must comply with the double entry.

13 When the entry is filled in, it can be viewed before saving.



14 Click "Save"



15 Once we have registered the journal entry in the system, we can view the Balance Sheet and P&L to confirm that the data has been updated.

The item "General and administrative expenses" shows a variation of 1500 corresponding to the journal entry posted.

	2022 Actuals	2021 Actuals	Variance
Sales Revenue	18 301 908	17 028 996	**1 272 912**
Discounts & Promotions			**0**
TOTAL NET SALES	**18 301 908**	**17 028 996**	**1 272 912**
Cost of Goods Sold	2 176 969	1 070 128	**1 106 841**
GROSS MARGIN	**16 124 939**	**15 958 868**	**166 071**
Wages & Salary	7 110 128	7 015 120	**95 008**
Payroll Taxes	474 320	455 063	**19 257**
EE Benefits	444 143	426 842	**17 301**
TOTAL EE EXPENSES	**8 028 591**	**7 897 025**	**131 566**
General & Administrative Expenses	1 871 969	1 892 099	**-20 129**
Marketing Expenses	701 152	710 475	**-9 323**
Travel Expenses	1 314 870	1 332 354	**-17 484**
Training & Staffing	341 765	336 579	**5 186**
External Services	875 585	887 228	**-11 643**
Depreciation & Amortization	183 910	186 355	**-2 445**
TOTAL OVERHEAD EXPENSES	**5 289 251**	**5 345 090**	**-55 839**
TOTAL OPERATING EXPENSES	**13 317 842**	**13 242 115**	**75 727**
OPERATING INCOME	**2 807 097**	**2 716 753**	**90 344**
Other Expense/Income	126 005	1 482 153	**-1 356 148**
EARNINGS BEFORE TAXES	**2 681 092**	**1 234 600**	**1 446 492**
Income Taxes	10		**10**
NET INCOME/LOSS	**2 681 082**	**1 234 600**	**1 446 482**

16 Selec Balance Sheet » Assets

	2022 Actuals	2021 Actuals	Variance
ASSETS			
Petty Cash Test			0
Cash in Bank Accounts	1 319 631	350 433	969 198
Petty Cash	323 500	25 000	298 500
Bank Credit Lines			0
Accounts Receivable	1 995 782	1 591 257	404 525
Inventory	1 429 373	828 638	600 735
Other current Assets	1 354 269	1 470 519	-116 250
Current Assets	**6 422 555**	**4 265 847**	**2 156 708**
Accruals and Prepaid Expenses	673 649	592 584	81 065
Land	2 053 242	1 753 242	300 000
Buildings	2 258 100	2 258 100	0
Property & Equipment	3 981 517	2 630 970	1 350 547
Other Tangible Assets	1 776 152	1 248 144	528 008
Financial Investments In Consolidated Affiliates	4 495 719	3 995 719	500 000
Financial Investments In Unconsolidated Affiliates	230 000	230 000	0
Tangible Assets	**15 468 379**	**12 708 759**	**2 759 620**
Goodwill	875 300	875 300	0
Other Intangible Assets	1 627 238	1 504 699	122 539
Intangible Assets	**2 502 538**	**2 379 999**	**122 539**
Land - Acc. Depreciation			0
Buildings - Acc. Depreciation	-905 910	-900 540	-5 370
Property & Equipment - Acc. Depreciation	-1 398 108	-1 392 475	-5 633

17 Selec Balance Sheet » Liabilities and Equity

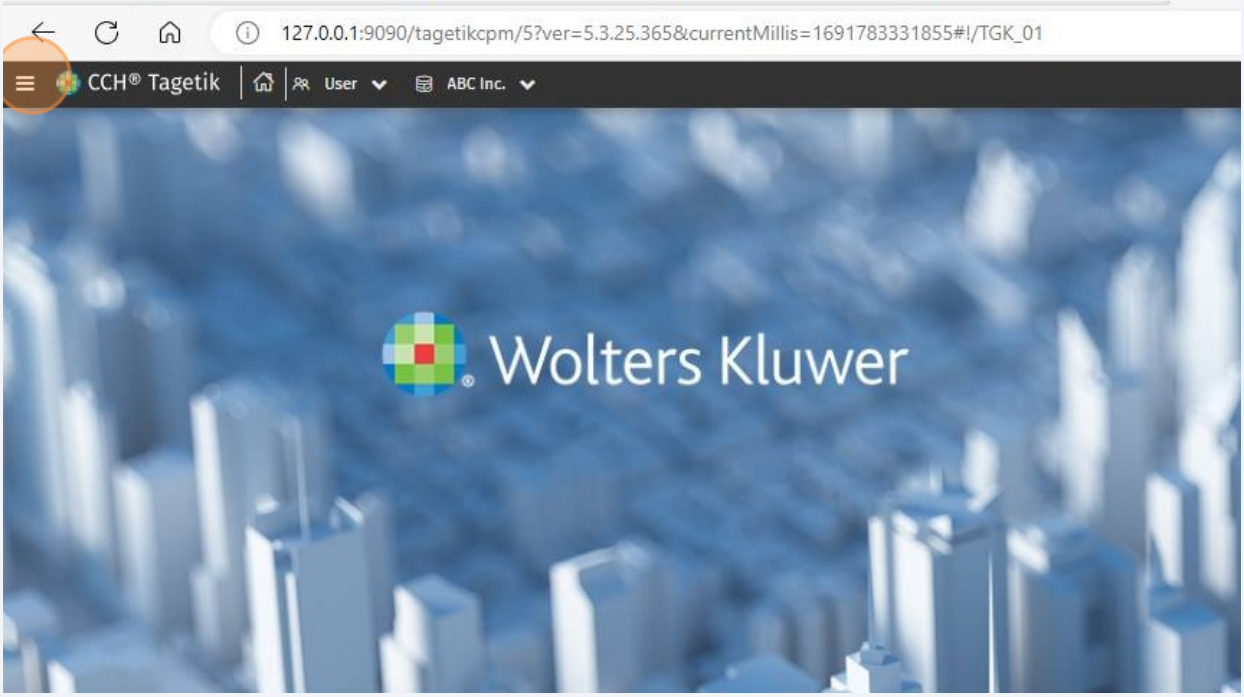
Balance sheet Liabilities and Equity.

The item "Account Payables" shows a variation of 1500 corresponding to the journal entry posted.

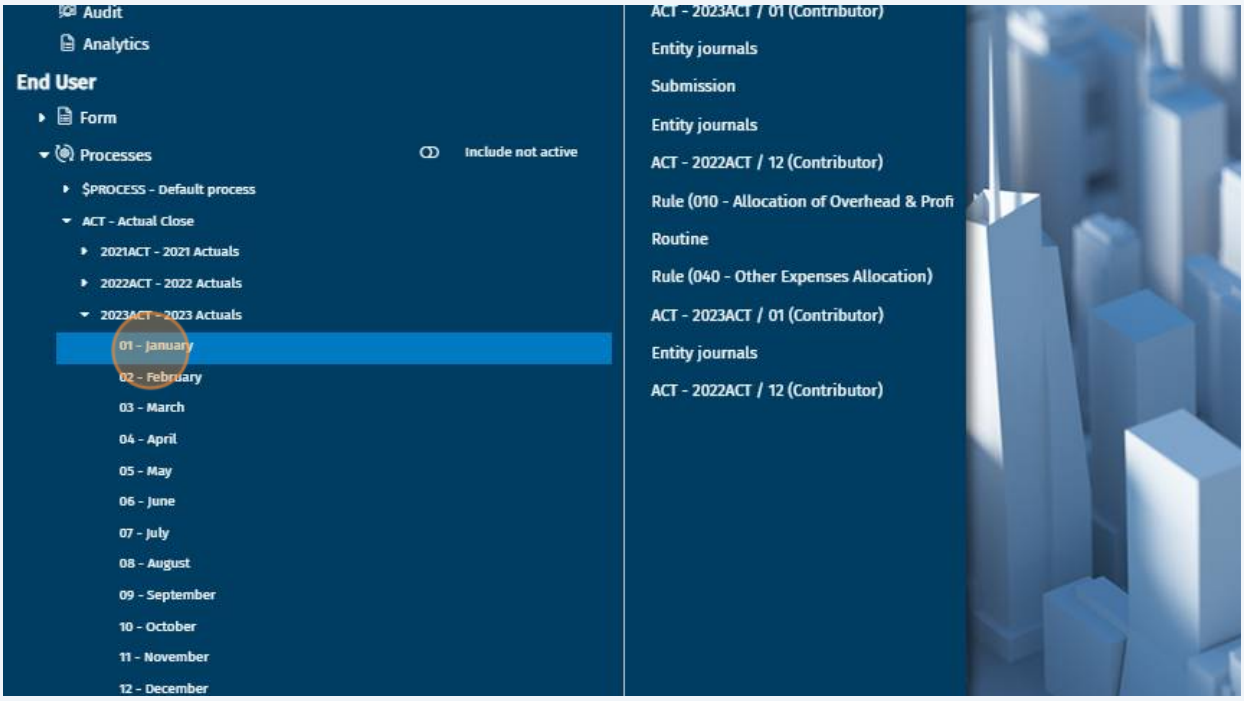
The item "common stock" and "reserves" show a variation of 1306 corresponding to the entry posted.

Accounts Payable	3 051 148	2 052 848	998 300
Accrued Liabilities	1 173 313	669 081	504 232
Interest Payables	878 861	858 650	20 211
Tax Payable	638 963	859 259	-220 296
S/T Debit lines	618 157	698 137	-79 980
Bank Debit Line			0
Othe current liabilities	1 682 551	1 553 131	129 420
Vat Payable/Receivable			0
Transitory account (VAT) on Sales/Expenses			0
Current Liabilities	**8 042 993**	**6 691 106**	**1 351 887**
Bonds Payables	2 084 631	1 084 631	1 000 000
L/T Debt	2 893 071	3 413 071	-520 000
Long Term Liabilities	**4 977 702**	**4 497 702**	**480 000**
TOTAL LIABILITIES	**13 020 695**	**11 188 808**	**1 831 887**
EQUITY			
Common Stock	1 352 194	853 500	498 694
Treasury Stock	346 900	346 900	0
Common Stock	**1 699 094**	**1 200 400**	**498 694**
Reserves	1 251 306	1 250 000	1 306
Cumulative Trals. Adjustment			0
Equity pick-up BS			0
OCI	**1 251 306**	**1 250 000**	**1 306**
Retained Earnings	1 904 600	670 000	1 234 600
Additional Paid in Capital	444 858	444 858	0
Retained Earnings	**2 349 458**	**1 114 858**	**1 234 600**
Current Year Result	2 681 082	1 234 600	1 446 482
Current Year results	**2 681 082**	**1 234 600**	**1 446 482**
Non Controlling Interest			0
NCI: Current Year Result			0
Non Controlling Interest	**0**	**0**	**0**
TOTAL EQUITY	**7 980 940**	**4 799 858**	**3 181 082**
TOTAL LIABILITIES & EQUITY	**21 001 634**	**15 988 666**	**5 012 968**

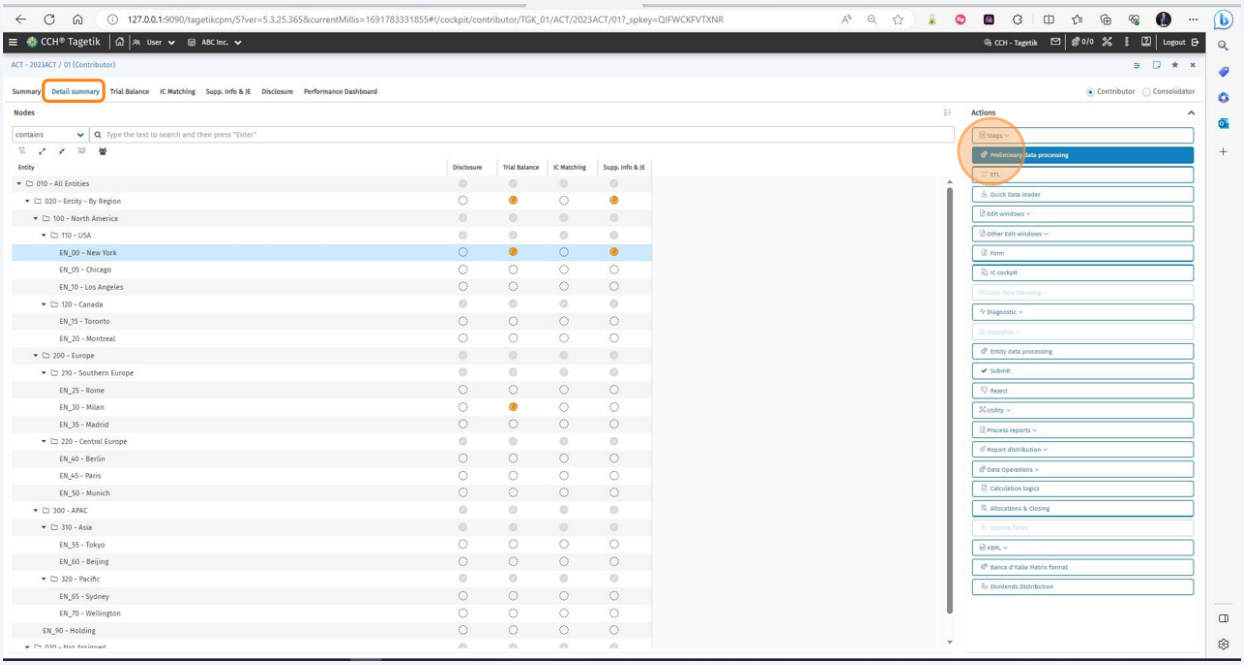
18 Now we have to go to select the period 2023.01 from the menu



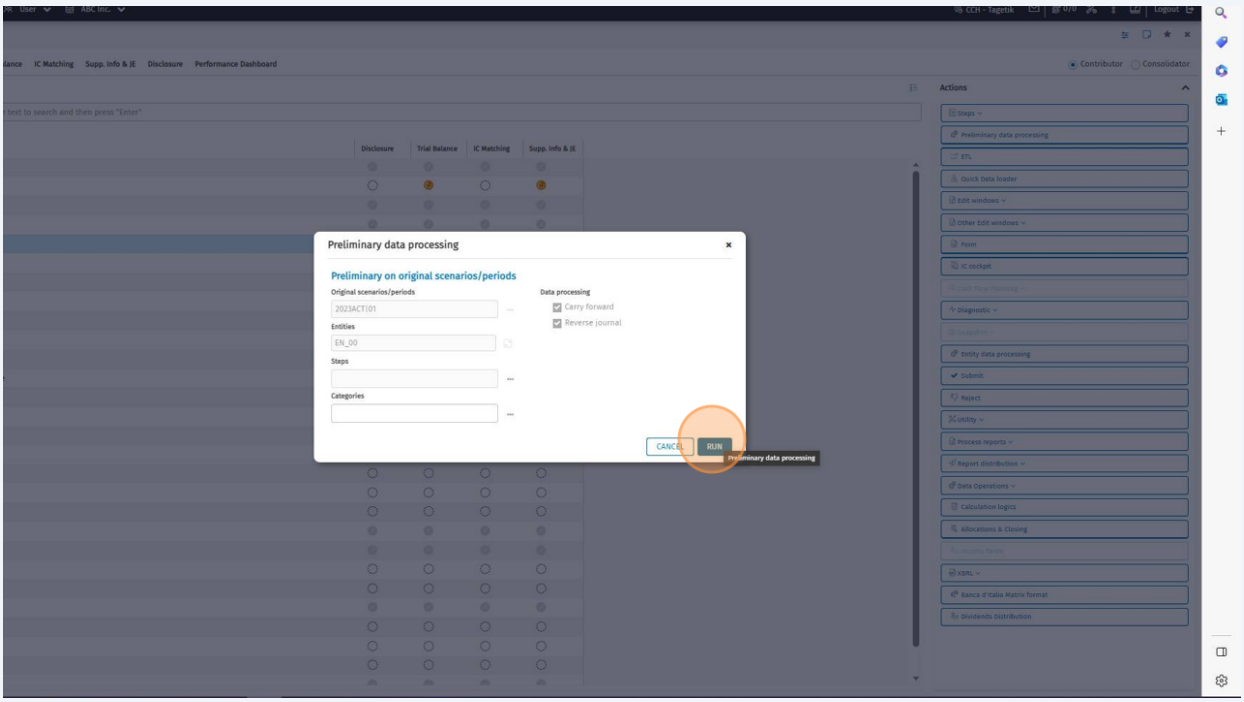
19 Click "Processes" »»»"01 - January"



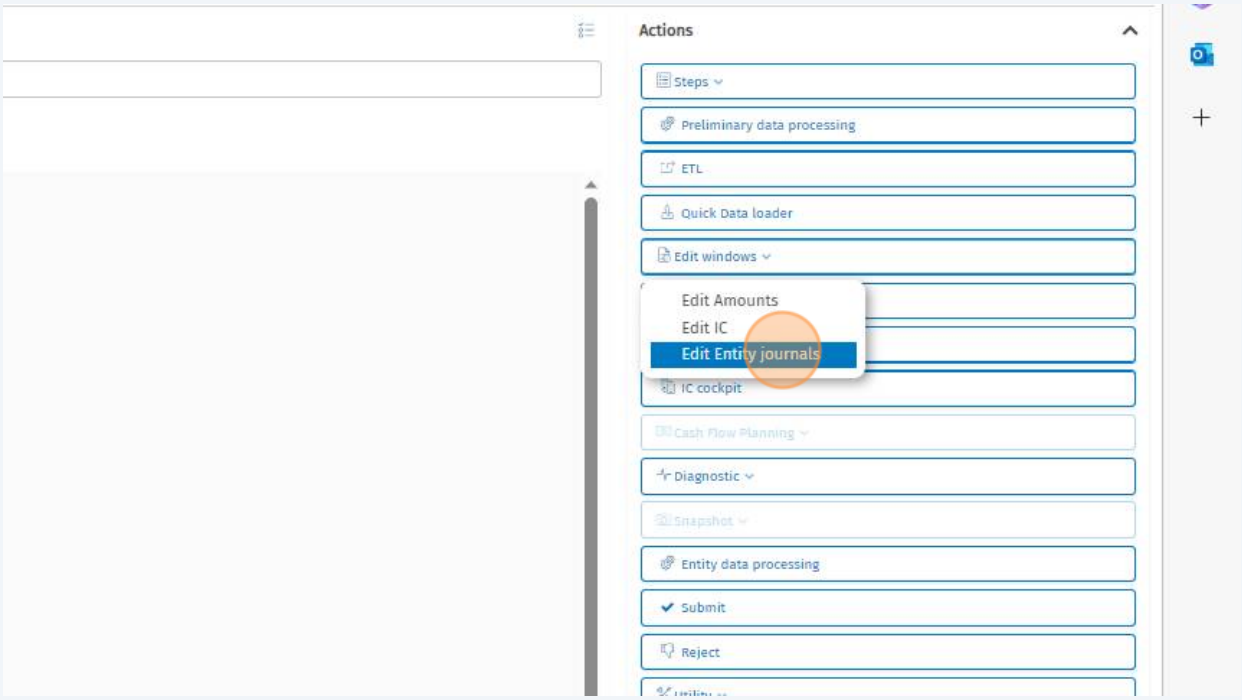
20 In the tab "Detail summary" select the option "Preliminary data processing"



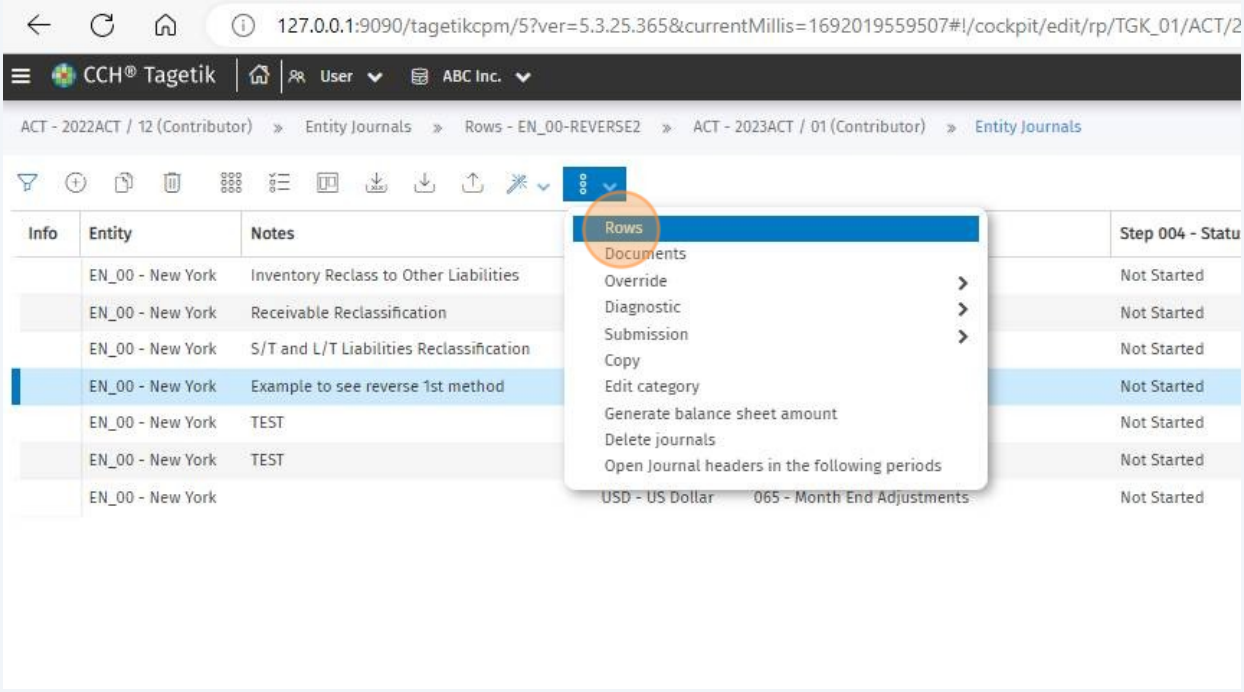
21 Click "Run" to carry forward the balance of the last month of the previous year to the first period of the following year. That is from 2022.12 to 2023.01 in this example.



22 Click "Edit windows" »» "Edit Entity journals"



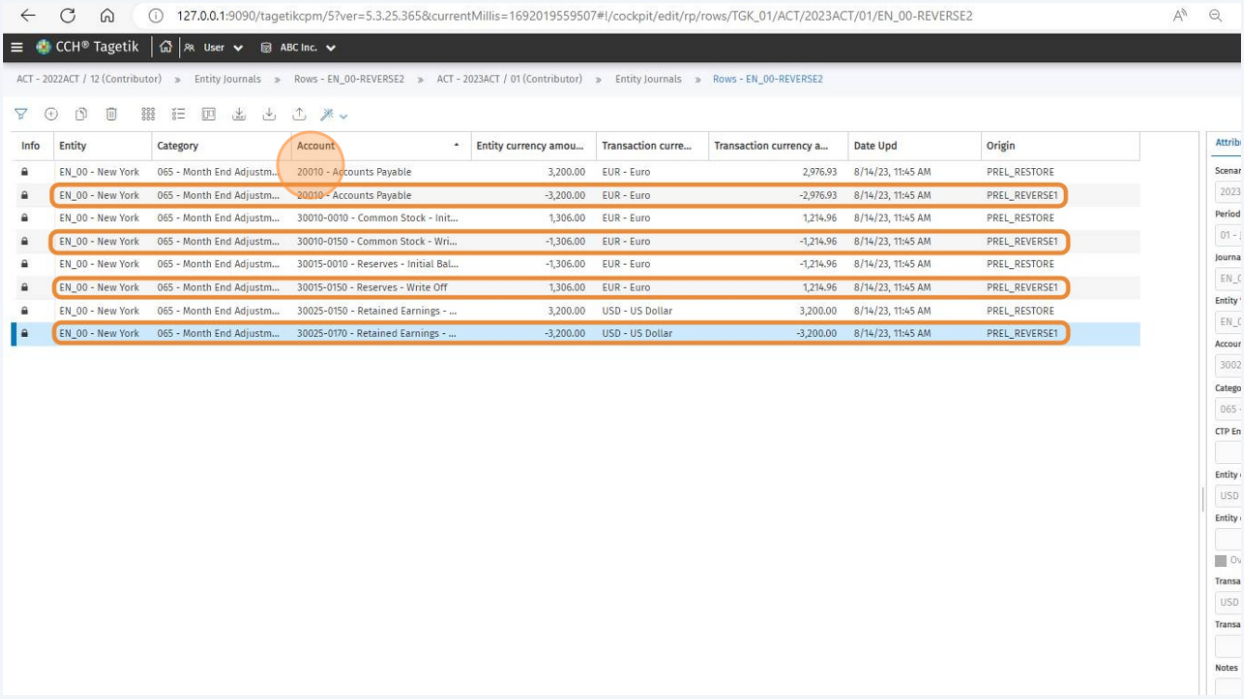
23 Inside when we see the existing journal headers, we select the one we made and then click on Rows to see its movements.



24 We can see that for 2023.01. The balance carry forward performs a "reverse" according to the selection we entered in the journal header "Set BS accounts to 0 (cut off)".

The way this reverse option works is that it performs the inversion with an assignment in the "Origin" tab as PREL_REVERSE1.

.



25 The values are reversed in the variation accounts, where their configuration is set to "Reverse" according to the Control Groups Dimension. As seen in the example below;

